Priority 4. Increase Assistance and Connectivity

Bilateral and multilateral diplomatic efforts will only go so far. Ultimately, India will also have to provide neighbours with attractive benefit whether in terms of economic or military assistance. Economic assistance can take several forms: grants, loans, lines of credit, and technical assistance. India's aid—which refers to grants or concessional loans—is already overwhelmingly devoted to its neighbourhood. Its five closest neighbours, along with Afghanistan, Myanmar, Mauritius, and Seychelles, receive the bulk of Indian grant assistance. [12] In addition to financial aid, India also provides various forms of technical assistance to its neighbours, whether satellite imagery, meteorological data, or hydrographical information, often through government-to-government partnerships or through regional institutional cooperation. India's assistance has also assumed a more strategic character, extending to issues of defence and security. This includes the provision of military and law enforcement equipment such as offshore patrol vessels, aircraft, and coastal radar systems as well as greater allotments to neighbouring countries in India's institutions of professional military education and training.

Lines of credit extended by the Export Import (EXIM) Bank of India and other financial mechanisms have increasingly been used for assistance that serves strategic purposes while remaining financially viable. Such efforts mitigate risk for private Indian actors to facilitate overseas exports, particularly to low-income countries. Like Indian aid, its lines of credit are also disproportionately allocated to the near abroad: Bangladesh, Sri Lanka, and Nepal have been among the largest recipients. Specific projects that have been approved in recent years include transportation and energy infrastructure in Bangladesh, railways in Sri Lanka, and hydropower initiatives and earthquake reconstruction in Nepal. Indian aid projects have often been criticized for lack of delivery, but recent steps have been taken to remedy that, including stronger and more regular oversight by senior officials, steps to ensure continuous financing, and better project design by including technical experts in the planning stages. [13]